

CRITICAL COMPONENT

Fortis Healthcare Ltd increased its stake in Agilus Diagnostics Ltd by 31.52% to 89.2% last year, integrating its extensive network with Agilus's diagnostic capabilities, expanding its services and sample collection centres to underserved regions.

Agilus itself has made key acquisitions such as DDRC, based in Ernakulam, Kerala; Pathocare Diagnostic and Research Center LLP, headquartered in Vadodara, Gujarat; and Dr Ponkshe Path Lab in Nagpur, Maharashtra. These purchases have allowed the company to strengthen its network to 25 states and five union territories.

"Agilus Diagnostics has always focused on building a presence in semi-urban areas and towns. A key driver of business growth in Tier II and III cities is the increasing awareness of diagnostics as a critical component of clinical decision-making," says Dr Anand K, Managing Director and CEO of Agilus Diagnostics. "There is also growing demand for reliable, accredited test results," he says.

In 2024, Redcliffe Lifetech Pvt Ltd took over Bengaluru-based Celara Diagnostics Pvt Ltd, a provider of advanced radiology and pathology services, reinforcing its presence in southern India and extending its foothold in small towns that make up 80% of its network. Redcliffe has set apart \$20 million from a recent \$42 million fund raising to expand in small cities.

Redcliffe CEO Aditya Kandoi says he wants to extend the company's reach in Tier II, Tier III and Tier IV cities, and to locations beyond.

Manipal HealthMap, an initiative backed by the Manipal Group, acquired iGenetic Diagnostics in

October 2024 as part of a plan to reduce pressure on urban healthcare facilities by providing better diagnostic services in smaller cities.

TIMELY, RELIABLE TESTS

Back in 2021, New Delhi-based Dr Lal PathLabs expanded its presence in western India with the acquisition of Suburban Diagnostics. And



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**MD & CEO,
AGILUS DIAGNOSTICS**

in the same year, Mumbai-based API Holdings (PharmEasy) bought Thyrocare for ₹4,546 crore, accelerating the shift towards affordable and accessible diagnostics.

"The need to strengthen primary and secondary healthcare infrastructure, especially in rural areas and in cities classified as Tier III, and beyond, has never been

more pressing. With increasing prevalence of non-communicable diseases, the role of organised diagnostics in delivering timely and reliable testing is becoming critical. Our national footprint, now at around 280 labs and around 5,700 collection centres, is expanding deeper into Tier III and beyond," says Executive Chairman Dr. Arvind Lal.

Agilus Diagnostics, which operates a network of 410 labs, 4,000 collection centres and 14,000 touch points, has a strong presence in Tier II and Tier III cities where 70% of its touch points are located. "These regions contribute approximately 60% of our overall revenue," says CEO Anand K. The company plans to deepen its presence in the 25 states where it currently operates, with 60% of future expansion targeted at these regions.

Touch points include patient service centres that customers can visit for diagnostic services; these centres also collect diagnostic samples from patients' homes. The website and mobile app serve as digital touch points that patients can use to book tests and access reports.

Also, with a presence in over 700 towns, Metropolis plans to expand its reach to more than 1,000 towns within the next 12–18 months. "Over the past three years, the contribution of smaller cities to our overall revenue has seen significant growth. Tier II and Tier III towns currently contribute around 34% to Metropolis Healthcare's revenue as of H1FY25, with revenue from Tier III cities growing by 23% YoY," says Chemmenkotil.

NUMBERS GAME

Why is small-town India turning out to be such a powerful magnet